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MGU-BBA (HONOURS) EXAMINATION APRIL 2026

SECOND SEMESTER

MG2CCRBBA102 - BUSINESS ECONOMICS

Part A

Short Answer Questions (four to five sentences; 3 marks each)

1a. What is meant by perfectly inelastic demand? Provide an example of a good with perfectly inelastic demand. [K] / [CO1]

- Perfectly inelastic demand refers to a situation where the quantity demanded of a commodity does not change regardless of changes in price. (1 Mark)
- The demand curve in this case is vertical to the X-axis. (1 Mark)
- Example: Life-saving medicines such as insulin or essential drugs. (1 Mark)

OR

1b.. What is meant by perfectly income inelastic demand? Provide an example. [U] / [CO1]

- Perfectly income inelastic demand means that changes in consumer income do not affect the quantity demanded of a commodity. (1 Mark)
- Income elasticity of demand is zero in this case. (1 Mark)
- Example: Salt or matchboxes. (1 Mark)

2a. A clothing manufacturer buys fabric, thread and buttons to produce shirts. Explain why these are considered direct costs and how they impact the total cost production? [A] / [CO2]

- Fabric, thread and buttons are direct costs because they are directly used in the production of shirts. (1 Mark)
- Their cost can be easily identified and measured for each unit produced. (1 Mark)
- Increase in these material costs raises the total cost of production and affects profitability. (1 Mark)

OR

2b. State the Law of Equi-Marginal Utility. How is it applied in the allocation of income? [U] / [CO2]

- The Law of Equi-Marginal Utility states that a consumer maximizes satisfaction when income is spent in such a way that the marginal utility obtained from the last unit of money spent on each commodity is equal. (1 Mark)
- Consumers distribute income among different goods to obtain

maximum total utility. (1 Mark)

- Rational consumers compare marginal utilities and allocate expenditure accordingly. (1 Mark)
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3a. List out the assumptions behind the model of perfectly competitive markets. [K] / [CO3]

Any three assumptions:

- Large number of buyers and sellers.
- Homogeneous products.
- Free entry and exit of firms.
- Perfect knowledge of market conditions.
- Perfect mobility of factors of production.
- Firms are price takers.

(Any three points – 1 Mark each)

OR

3b. State any three reasons why monopolies arise in the market. [K] / [CO3]

Any three reasons:

- Government licensing or legal protection.
- Ownership of key resources.
- Patent rights and copyrights.
- Large capital requirements.
- Economies of scale.
- Lack of close substitutes.

(Any three points – 1 Mark each)

4a. Explain the shift in economic policy from the colonial era to the post-independence era in India. [U] / [CO4]

- During the colonial period, economic policies mainly served British interests and led to exploitation of Indian resources. (1 Mark)
- After independence, India adopted planned economic development focusing on industrialization and self-reliance. (1 Mark)
- The government introduced Five-Year Plans and welfare-oriented policies to promote growth and reduce poverty. (1 Mark)

OR

4b. How does the use of the value-added approach help in avoiding double counting when calculating national income? [U] / [CO4]

- The value-added method measures only the additional value created at each stage of production. (1 Mark)
- Intermediate goods are excluded from final calculation. (1 Mark)
- This avoids counting the same product value multiple times and gives accurate national income estimates. (1 Mark)

5a. Explain the concept of percentage change in quantity demanded used in the calculation of price elasticity. [U] / [CO1]

- Percentage change in quantity demanded measures how much demand changes in response to price changes. (1 Mark)
- It is calculated as:

Percentage Change in Quantity Demanded = $\frac{Change\ in\ Quantity\ Demanded}{Original\ Quantity}$ x 100

(1 Mark)

- This concept is used in measuring price elasticity of demand. (1 Mark)

OR

5b. Mention any three assumptions of the Law of Diminishing Marginal Utility. [K] / [CO1]

Any three assumptions:

- Utility can be measured.
- Consumer behavior is rational.
- Consumption is continuous.
- Units consumed are homogeneous.
- Income and tastes remain constant.
- Marginal utility of money remains constant.

(Any three points – 1 Mark each)

Part B

Short Essay (5 marks each)

6a. A consumer purchases more chocolates when the price decreases. Explain this situation using the Law of Demand. [K] / [CO1]

- The Law of Demand states that quantity demanded increases when price decreases, other factors remaining constant. (1 Mark)
- There is an inverse relationship between price and quantity demanded. (1 Mark)
- When the price of chocolates falls, consumers can buy more with the same income. (1 Mark)
- Lower prices attract more consumers and increase demand. (1 Mark)
- Demand curve slopes downward from left to right. (1 Mark)

Diagrammatic representation of demand curve also may be considered

OR

6b. Explain the importance of cross elasticity of demand in determining the market competition between brands. [U] / [CO1]

- Cross elasticity of demand measures the responsiveness of demand for one product due to changes in the price of another product. (1 Mark)
- Positive cross elasticity indicates substitute goods. (1 Mark)
- Competing brands usually have positive cross elasticity. (1 Mark)

- It helps firms identify close competitors and formulate pricing strategies. (1 Mark)
- Example: Increase in Pepsi price may increase demand for Coca-Cola. (1 Mark)

7a. Discuss the role of demand and supply forces in determining the equilibrium price under perfect competition. [U] / [CO3]

- Equilibrium price is determined where demand equals supply. (1 Mark)
- Demand represents consumer willingness to buy. (1 Mark)
- Supply represents producer willingness to sell. (1 Mark)
- If demand exceeds supply, prices rise. If supply exceeds demand, prices fall. (1 Mark)
- Under perfect competition, market forces automatically establish equilibrium price and quantity. (1 Mark)

Diagrammatic representation of equilibrium price may also be considered

OR

7b. Compare and contrast the following market forms: Duopoly, Oligopoly, and Monopolistic Competition. [U] / [CO3]

Basis	**Duopoly**	**Oligopoly**	**Monopolistic Competition**
Number of Firms	Two firms	Few firms	Large number of firms
Nature of Product	Homogeneous or differentiated	Usually differentiated	Differentiated
Control over Price	High interdependence	Significant interdependence	Limited control
Entry Barriers	Moderate	High	Low
Example	Airbus and Boeing	Automobile industry	Restaurants

(Any relevant comparison – 5 Marks)

8a. How is the circular flow of income completed in a two-sector economy? Illustrate and explain the concept with a diagram. [U] / [CO4]

- A two-sector economy consists of households and firms. (1 Mark)
- Households provide factors of production to firms. (1 Mark)
- Firms provide goods and services to households. (1 Mark)
- Income flows from firms to households in the form of wages, rent, interest and profit. (1 Mark)
- Diagram showing real flow and money flow should be included. (1 Mark)

OR

8b. Explain how unemployment and underemployment are major challenges for the Indian economy. Suggest one measure to address this issue. [U] / [CO4]

- Unemployment refers to the condition where people willing to work cannot find jobs. (1 Mark)
- Underemployment occurs when workers do not get full utilization of their skills or working hours. (1 Mark)
- These problems reduce national income and living standards. (1 Mark)

- They increase poverty and social inequality. (1 Mark)
- Measure: Skill development programmes, industrial growth or promotion of self-employment. (1 Mark)

Part C

Long Essay (20 marks each)

9a. Do you think that the Cobb-Douglas production model effectively represents production processes in real life? [A] / [CO2]

Introduction

- The Cobb-Douglas production function explains the relationship between inputs such as labour and capital and output produced.
- General form: $Q = AL^{\alpha}K^{\beta}$ (2 Marks)

Features of Cobb-Douglas Production Function

- Shows relationship between inputs and output.
- Includes labour and capital as major inputs.
- Demonstrates returns to scale.
- Assumes substitutability between factors. (4 Marks)

Merits / Real-Life Relevance

- Useful in analysing production efficiency.
- Widely used in economics and business studies.
- Helps firms estimate output and productivity.
- Applicable in manufacturing and industrial sectors. (5 Marks)

Limitations

- Oversimplifies real production conditions.
- Ignores technological and managerial factors.
- Assumes perfect competition and constant elasticity.
- Not fully suitable for service industries. (5 Marks)

Conclusion

- The model is useful as a theoretical and analytical tool, though it may not perfectly represent all real-life production situations. (4 Marks)

OR

9b. Explain the Total Product, Average Product and Marginal Product with the help of a schedule and diagram. [A] / [CO2]

Introduction

- Production analysis studies the relationship between inputs and

outputs.

- Total Product, Average Product and Marginal Product are important concepts in production theory. (2 Marks)

Definitions

- Total Product (TP): Total output produced with given inputs.
- Average Product (AP): Output per unit of input.

$$AP = \frac{TP}{Units\ of\ Input}$$

- Marginal Product (MP): Addition to total product from one extra unit of input.

$$MP = \frac{\Delta TP}{\Delta Input}$$ (6 Marks)

Illustrative Schedule

Labour	TP	AP	MP
1	10	10	10
2	24	12	14
3	39	13	15
4	52	13	13
5	60	12	8
6	64	10.7	4

(4 Marks)

Explanation

- TP increases initially at an increasing rate and later at a decreasing rate.
- AP rises and then declines.
- MP rises first, reaches maximum and then declines due to diminishing returns. (4 Marks)

Diagram

- Properly labelled TP, AP and MP curves should be drawn. (2 Marks)

Conclusion

- These concepts help firms determine the optimum level of production and efficient use of resources. (2 Marks)

10a. Define Economics and explain its importance in society. [U] / [CO1]

Definition of Economics

- Economics is the study of how individuals and societies allocate scarce resources to satisfy unlimited wants.
- Definitions by Adam Smith, Alfred Marshall or Lionel Robbins may also be explained. (4 Marks)

Importance of Economics in Society

1. Helps in efficient allocation of scarce resources.
2. Assists governments in policy formulation.
3. Helps in understanding consumer and producer behaviour.
4. Supports economic growth and development.
5. Helps in solving problems like unemployment and inflation.
6. Useful in business decision-making.
7. Improves living standards. (12 Marks)

Conclusion

- Economics plays a significant role in improving social welfare and guiding economic activities in modern society. (4 Marks)

OR

10b. Identify and explain the major determinants of supply. How do changes in each of these factors affect the supply of goods and services in the market? Provide examples to support your explanation. [U] / [CO1]

Introduction

- Supply refers to the quantity of a commodity producers are willing to sell at different prices during a given period. (2 Marks)

Determinants of Supply

1. **Price of the Commodity**
    - Higher prices increase supply.
    - Example: Farmers produce more wheat when prices rise.
2. **Cost of Production**
    - Increase in input costs reduces supply.
    - Example: Rise in fuel price increases transport costs.
3. **Technology**
    - Improved technology increases production efficiency and supply.
4. **Prices of Related Goods**
    - Producers may shift resources to more profitable products.
5. **Government Policy**
    - Taxes reduce supply while subsidies increase supply.
6. **Number of Sellers**
    - More sellers increase market supply.
7. **Future Expectations**
    - Producers may reduce present supply if higher future prices

are expected.

8. **Natural Factors**
    - Climate and weather affect agricultural supply. (14 Marks)

Conclusion

- Supply is influenced by several economic and non-economic factors. Understanding these determinants helps businesses and governments make effective decisions. (4 Marks)

Scheme Prepared by:

Vasantha Kumar K P
Assistant Professor
Department of Management Studies
Seth Ram Bahadur Singh Gujarati College
Mattancherry
Kochi 682002
Ph: 9847293763